

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: July 15, 2026

Latest financials: Q2 FY2025 · Model data as of 2026-07-15

UNDERWEIGHT

Composite · Valuation: UNDERWEIGHT

Target \$356.68 · -9.8% upside

Price \$395.63

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$356.68 (-9.8% vs \$395.63); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

| Pillar       | Rating / Signal | Key Metric                   | Wt  |
|--------------|-----------------|------------------------------|-----|
| Valuation    | UNDERWEIGHT     | Blended PT \$356.68          | 45% |
| FSA          | Strong          | Health +0.30 · Strong        | 20% |
| Technical    | BEARISH         | Bearish                      | 20% |
| Quantitative | NEGATIVE        | Score -0.70 · 12m -21%       | 15% |
| Composite    | UNDERWEIGHT     | Score -0.29 · 75% confluence | —   |

Fundamental and technical both bearish; solid financial statement profile.

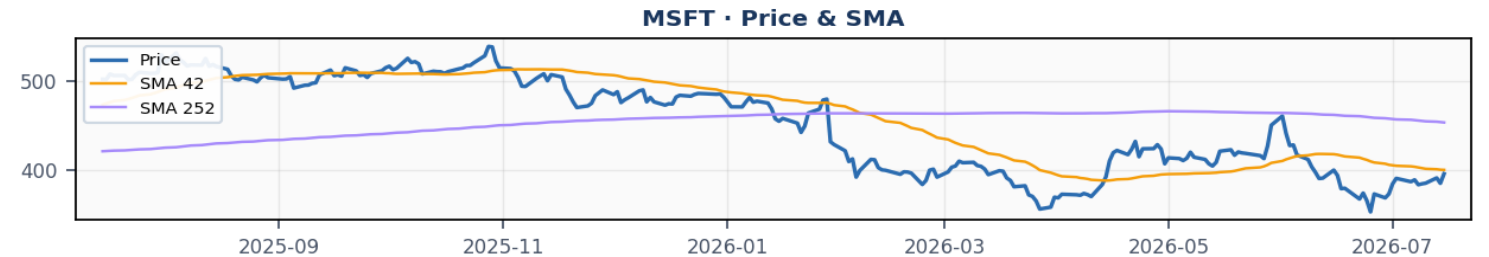
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **UNDERWEIGHT** rating; blended target \$356.68. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value      |
|---------------|---------------------|--------------|------------|
| Market Cap    | \$2.94T             | Shares Out.  | 7428.4M    |
| 52-Week Range | \$349.20 – \$555.45 | P/E (TTM)    | 22.9x      |
| P/B           | 7.1x                | Beta         | 1.13       |
| Avg Volume    | 39.69M              | Analyst Rec. | Strong Buy |
| Revenue (TTM) | \$318.27B           | Rev Growth   | +18.3%     |
| Op. Margin    | 46.3%               | FCF (TTM)    | \$71.61B   |
| Gross Margin  | 68.3%               | ROE          | 34.0%      |
| EV/EBITDA     | 16.2x               | Debt/Equity  | 30.3%      |
| EPS (TTM)     | \$17.25             | Div Yield    | 95.0%      |

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric             | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|--------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)      | 245,122  | 281,724  | 333,279  | 378,472  | 417,235  |
| Revenue Growth (%) | N/A      | 14.9%    | 18.3%    | 13.6%    | 10.2%    |
| Net Income (\$M)   | 88,136   | 101,832  | 120,467  | 136,803  | 150,814  |
| Gross Margin (%)   | 69.8%    | 68.8%    | 68.3%    | 68.3%    | 68.3%    |
| Net Margin (%)     | 36.0%    | 36.1%    | 36.1%    | 36.1%    | 36.1%    |
| EPS (\$)           | 11.86    | 13.71    | 16.22    | 18.42    | 20.30    |
| P/E (x)            | 33.35    | 28.86    | 24.40    | 21.48    | 19.49    |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                  | Metric               | Value  | Notes      |
|--------------------|----------|--------------------------------------------------------|----------------------|--------|------------|
| SMA (42d)          | \$400.02 | Short-term trend                                       | 12m Momentum         | -21.2% |            |
| SMA (252d)         | \$453.27 | Long-term trend                                        | 3m Momentum          | -3.6%  |            |
| RSI (14d)          | 65.9     | Momentum oscillator                                    | Ann. Volatility      | 27.1%  |            |
| Trend              | Bearish  |                                                        | Sharpe Ratio         | 0.15   | Rf=4%      |
| Golden Cross (20d) | No       |                                                        | Max Drawdown         | -37.1% |            |
| Death Cross (20d)  | No       |                                                        | Rel. Strength vs SPY | -40.4% |            |
| TA Signal          | BEARISH  | SMA42 below SMA252;<br>SMA42=\$400.02, SMA252=\$453.27 | Quant Score          | -0.70  | NEGATIVE   |
|                    |          |                                                        | SMA Backtest (ann.)  | 7.2%   | B&H; 12.4% |

VALUATION CROSS-CHECK

| Valuation Method  | Implied Price | vs. Current | Weight in     | Notes                                             |
|-------------------|---------------|-------------|---------------|---------------------------------------------------|
| DCF (FCFE)        | \$210.48      | -46.8%      | 0% (excluded) | Diverges below other methods (46% of median)      |
| Comps — Blended   | \$356.68      | -9.8%       | 100%          | Included in blend                                 |
| Analyst consensus | \$559.86      | +41.5%      | 0% (excluded) | Analyst consensus lags / diverges >35% from comps |
| Blended target    | \$356.68      | -9.8%       | 100%          | Comps 100%                                        |

DCF (FCFE) SUMMARY

| Ke     | Terminal g | FCFE growth | Equity value | Implied price | vs. Current |
|--------|------------|-------------|--------------|---------------|-------------|
| 10.21% | 4.00%      | 9.15%       | \$1.56T      | \$210.48      | -46.8%      |

PEER COMPARISON · INDUSTRY CONTEXT

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| ORCL   | Oracle Corporation     | \$381.63B  | 21.9x | 17.1x     | 25.4%      | +20.6%     |
| CRM    | Salesforce, Inc.       | \$136.77B  | 19.4x | 13.0x     | 18.7%      | +13.3%     |
| NOW    | ServiceNow, Inc.       | \$108.01B  | 62.3x | 36.4x     | 12.6%      | +22.1%     |
| IBM    | International Business | \$198.50B  | 18.7x | 15.4x     | 15.6%      | +9.5%      |
| MSFT*  | Microsoft Corporation  | \$2.94T    | 22.9x | 16.2x     | 39.3%      | +18.3%     |

\* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (18.3% YoY); High operating leverage (46.3% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.